the balance sheet. With the preferred and common stocks together selling in July 1933 for less than a sixth of the true debt, it is evident that the bonds had an insufficient stock equity at the time. If the *prospects* were considered favorable there might be good reason to buy the common stock for larger capital appreciation. But no such possibility attached to the 6% bonds selling at 92, and consequently the purchase of this issue could not be supported by sound analysis.

The Chesapeake and Ohio exhibit, on the other hand, supplies a stock-value ratio which fully confirms the satisfactory showing of the earnings coverage. If the investor were satisfied with the prospects of this road, he would then be justified in buying its bonds (*e.g.*, the Refunding and Improvement 4½s selling at 92½) since these meet both quantitative tests in satisfactory fashion.

THE WORKING-CAPITAL FACTOR IN THE ANALYSIS OF INDUSTRIAL BONDS

For reasons already explained, a company's statement of its *fixed assets* will not ordinarily carry much weight in determining the soundness of its bonds. But the *current-asset position* has an important bearing upon the financial strength of nearly all industrial enterprises, and consequently the intending bond purchaser should give it close attention. It is true that industrial bonds which meet the stringent tests already prescribed will in nearly every instance be found to make a satisfactory working-capital exhibit as well, but a separate check is nevertheless desirable in order to guard against the exceptional case.

Current assets (termed also "liquid," "quick," or "working" assets) include cash, marketable securities, receivables, and merchandise inventory.[3] These items are either directly equivalent to cash, or are expected to be turned into cash, through sale or collection, in the ordinary course of business. To conduct its operations effectively, an industrial enterprise must possess a substantial excess of current assets over current liabilities, the latter being all debts payable within a short term. This excess is called the working capital, or the net current assets.

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[3] Some authorities exclude inventories from "quick assets," but include them in "current assets." This distinction is useful, and we suggest that it be adopted as standard. It has been followed in the S.E.C.-W.P.A. "Census of American Listed Corporations," a series of studies published in 1938–1940.